

and it's all going toward interest. Depending on the loan amount, 2 percent can mean a monthly payment change of \$400 or more.

It sounds scary because it is scary. Why would anyone want an ARM? Well, an adjustable-rate mortgage is lower risk for the lender because they can adjust their rates if interest rates rise in the future, so they charge less interest initially. If you ask your lender for two quotes—one on a thirty-year fixed mortgage and one on a seven-year ARM—there might be a .5 percent difference between the two rates. Those are some big savings.

Adjustable-rate mortgages are a great option if you firmly believe that interest rates will stay about the same or decrease over time, or if you aren't planning on being in the house longer than the initial interest rate period. For example, if you're positive you will sell your home within seven years of buying it, a seven-year ARM will likely be the better option due to its lower interest rate.

While we generally like the ability to lock into a thirty-year fixed-rate mortgage—and we can't fathom how interest rates could go any lower than they are now—please note that interest rates *have* been decreasing for the last ten to twenty years. It seems that every few years a new low is set, and the folks making the “smart” decision to lock into thirty-year fixed-rate mortgages lose money compared with those who select ARMs.

Long story short, a thirty-year, fixed-rate mortgage is the standard for a reason. It's the safest bet for consistent, low payments. Let it be known that we still think a fixed-rate mortgage is the safer choice, but that doesn't always mean it's the *best* choice.

Private Mortgage Insurance (PMI)

You love to hate it and hate to love it. Introducing your new best frenemy: PMI.

More likely than not, you'll encounter private mortgage insurance in your first-time home buyer journey. This is an insurance premium you pay when you put less than 20 percent down on the house. Frankly, a 20 percent down payment is massive—that's \$60,000 cash on a \$300,000 house—and it's not always the most reasonable route to take, especially as a first-timer.

If you have the money saved up for a full 20 percent down payment, kudos to you. Not only will you avoid paying PMI each month, but your monthly payments will also be much lower, since your down payment is